SVKM'S NMIMS

MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT& ENGINEERING

Academic Year: 2024-2025

Program: B.Tech./MBA Tech/BTI Stream ;_COMP, EXTC, CS, CE, DS

Year: II/III Semester: III/V

Subject: Management Accounting for Engineers

Time: 3 hrs (10:00am to 1:00pm)

Date: 21/2/2025

No. of Pages:5

Marks: 100

Re-Examination (2022-23/ 2023-24)

Instructions: Candidates should read carefully the instructions printed on the question paper and on the cover of the Answer Book, which is provided for their use.

1) Question No. _1___ is compulsory.
2) Out of remaining questions, attempt any __4___ questions.
3) **In all ___5_ questions to be attempted.**
4) All questions carry equal marks.
5) **Answer to each new question to be started on a fresh page.**
6) **Figures in brackets on the right hand side indicate full marks.**
7) **Assume Suitable data if necessary.**

Q1		Answer briefly:	[20]
CO-2 ; SO- ; BL-Understand	a.	Classify the following on the basis of traceability (Direct/Indirect) to a product. (i) Depreciation of office furniture (ii) Cost of a speaker in a radio set (iii) Paper used for printing a book (iv) Bottle used for filling in a soft drink (v) Bank charges	[5]
CO- 5; SO- ; BL-Apply	b.	M/s Ltd. sells a product at Rs.10, each and the variable cost is Rs.6, each , fixed cost is Rs.400 per annum and actual sales is 200 units. Calculate: **(a)** Break even Point in units and Rupees. **(b)** Margin of safety in units and Rupees.	[5]
CO- 4; SO- ; BL-Apply	c.	Paradise Energy Company produces a product with a direct labour standard of 4.5 hours per unit at a rate of Rs. 13.50 per hour. During July total of 2,200 units were produced using 9,825 labour hours at an actual cost of Rs. 135,094.	[5]

<table>
<tr><td></td><td></td><td>How much is the total direct labour variance for July?</td><td></td></tr>
<tr><td>CO-1 ; SO- ; BL- Understand</td><td>d.</td><td>Cost accounting is a system of foresight and not a postmortem examination. In this context, explain the five advantages of cost accounting.</td><td>[5]</td></tr>
<tr><td>Q2a
CO-2; SO- ; BL- Analyze</td><td></td><td>Bright One Limited Co. produces a product which has annual demand of 6,50,000 units. Material is purchased at Rs. 104 per unit. The ordering cost is Rs. 200 per order and carrying cost is 10% p.a. Calculate the following:
i) Economic Order Quantity (EOQ)
ii) Total Inventory Cost
iii) Should the company accept an offer of 3% discount by the supplier who wants to supply the annual requirement of the material in the five equal instalments?</td><td>[15]</td></tr>
<tr><td>Q2b
CO-1; SO- ; BL- Understand</td><td></td><td>Limitations of financial accounting have made the management to realize the importance of cost accounting. Comment.</td><td>[5]</td></tr>
<tr><td>Q3
CO-5; SO- ; BL- Analyze</td><td></td><td>The various financial information related to Company; A Ltd. has been furnished below:
<table>
<tr><td>Sales Units</td><td>30000</td></tr>
<tr><td>Fixed cost</td><td>Rs. 68,000</td></tr>
<tr><td>Sales</td><td>Rs. 450,000</td></tr>
<tr><td>Variable cost p.u</td><td>Rs. 9</td></tr>
</table>
Calculate the following:
i) P/V Ratio, Break-even point (BEP) (in Rupees), and Margin of Safety (MOS) (6 Marks)
ii) Number of units to be sold to earn a profit of Rs. 175,000 (2 Marks)
iii) Analyze the impact on revised P/V Ratio, BEP (in Rupees) in the following cases
a) If Selling price is reduced by 10% (6 Marks)</td><td>[20]</td></tr>
</table>

		b) If Variable cost is increased by 20% (6 Marks)	
Q4 CO-2; SO-; BL- Create		**The following particulars have been taken from the books of Galaxy Ltd for the year ended 31 March 2024** **Other information:** **a)** Number of units sold during the year 1900. **b)** Profit desired on sales is 10%. **c)** The closing stock of Finnish goods was 200 units to be valued at the cost of production. Create a cost sheet for the year ended March 2024 for the activity and cost listed above.	[20]
Q5 CO-4; SO-; BL-Apply	a	Steep, Inc. budgeted 6,000 cup holders for March. Each holder is sold for Rs.12. Actual production for March was 6,300 cup holders. Standards and actual costs follow for March:	[12]

Particulars	Rs.
Direct materials	100,000
Depreciation on plant and machinery	30,000
Demonstration expenses	9975
Dividend received	5000
General managers salary	50,000
Goodwill written off	6000
Direct wages	1,25,000
Sales promotion expenses	49,875
Purchase of furniture	1,00,000
Depreciation on delivery van	11,400
Office maintenance charges	15,000
Mailing charges on sales literature	3,800
Director's fees	50,000
Office salaries	1,00,000
Opening a stock of finished goods (100 units)	14,950

	Standards	Actual
Materials	1.1 kgs @ Rs.2.40 a kg	6,400 kgs purchased for Rs.15,040; 6,450 kgs used
Labor	0.10 hours @ Rs.14.00 per hour	620 hours @ Rs.14.30 per hour
Variable overhead	Rs.16,800	Rs.18,400
Fixed overhead	Rs.9,600	Rs.10,300

		Determine labour cost variance, labour efficiency variance and labour rate variance.	
Q5 CO-3; SO-; BL-Understand	b	Describe the key steps involved in the budgeting process of a company. Why is each step important for effective budget management?	[8]
Q6 CO-2; SO-; BL-Understand	a.	Explain the benefits associated with ABC and VED systems of inventory management.	[8]
Q6 CO-3; SO-; BL-Create	b.	Expected manufacturing costs for Beaver Street Manufacturing for June are as follows: **Variable Costs** **per Unit** **Fixed Costs** **per Month** Direct material Rs. 7.00 Supervisory salaries Rs. 17,000 Direct labor 3.50 Factory depreciation 4,500 Variable overhead 1.80 Other factory costs 3,100 During June, the company produced 13,000 units. Prepare a flexible budget for 13,000 units.	[12]
Q7 CO-2; SO-; BL-Apply	a.	How activity based costing is different from traditional based costing. (Give 4 point of differences). Also explain in which type of companies Activity based costing and Traditional costing will be suitable.	[12]
Q7 CO-2; SO-; BL-Apply	b.	Shriram Enterprises manufactures a special product ZED. The following particulars were collected for the year 2024: (a) Yearly demand of ZED 12,000 units (b) Normal usage 50 units per week. (c) Minimum usage 25 units per week. (d) Maximum usage 75 units per week. (e) Re-order period 4 to 6 weeks. (f) Re-order quantity 186 units	[8]

		Determine: Re-oreder level, Minimum level, Maximum level and Average stock level	